3. From the following information relating to a partnership firm, find out the value of its goodwill based on 3 years purchase of average profits of the last 4 years:

(a) Profits of the years 2015, 2016, 2017 and 2018 are ₹ 10,000, ₹ 12,500, ₹ 12,000 and ₹ 11,500 respectively.

(b) The business was looked after by a partner and his fair remuneration amounts to ₹ 1,500 per year. This amount was not considered in the calculation of the above profits.

(Answer: Average profit: ₹ 10,000; Goodwill: ₹ 30,000)

4. From the following information relating to Sridevi enterprises, calculate the value of goodwill on the basis of 4 years purchase of the average profits of 3 years.

(a) Profits for the years ending 31st December 2016, 2017 and 2018 were ₹ 1,75,000, ₹ 1,50,000 and ₹ 2,00,000 respectively.

(b) A non-recurring income of ₹ 45,000 is included in the profits of the year 2016.

(c) The closing stock of the year 2017 was overvalued by ₹ 30,000.

(Answer: Average profit: ₹ 1,60,000; Goodwill: ₹ 6,40,000)

5. The following particulars are available in respect of the business carried on by a partnership firm:

(i) Profits earned: 2016: ₹ 25,000; 2017: ₹ 23,000 and 2018: ₹ 26,000.

(ii) Profit of 2016 includes a non-recurring income of ₹ 2,500.

(iii) Profit of 2017 is reduced by ₹ 3,500 due to stock destroyed by fire.

(iv) The stock was not insured. But, it is decided to insure the stock in future. The insurance premium is estimated to be ₹ 250 per annum.

You are required to calculate the value of goodwill of the firm on the basis of 2 years purchase of average profits of the last three years.

(Answer: Average profit: ₹ 24,750; Goodwill: ₹ 49,500)

Weighted average profit method

6. Find out the value of goodwill at three years purchase of weighted average profit of last four years.

Year	Profit ₹	Weight
2015	10,000	1
2016	12,000	2
2017	16,000	3
2018	18,000	4

(Answer: Weighted average profit: ₹ 15,400; Goodwill: ₹ 46,200)

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